

COST-PLUS-AWARD-FEE

PERFORMANCE EVALUATION PLAN

FOR

SOUNDER FOR MICROWAVE-BASED APPLICATIONS

HARDWARE CONTRACT NO. TBD

WITH TBD

CONCURRENCE:

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Date

APPROVAL:

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Date

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I. INTRODUCTION

This Performance Evaluation Plan (PEP) covers the administration of the award fee provisions of Contract [To Be Determined (TBD)], dated TBD, with TBD. The purpose of this plan is to establish a general framework for evaluating the contractor's performance. Accordingly, all fee determinations shall be based on the guidelines found herein. The plan is unilaterally established by the Government and may be revised at any time to redirect emphasis in accordance with Section V of this plan. The contract was awarded in accordance with the provisions of Request for Proposal (RFP) 80GSFC25R7005.

The following matters, among others are covered:

- A. This Cost-Plus-Award-Fee (CPAF) contract provides for the Sounder for Microwave-Based Applications (SMBA) instruments. This contract contains four discrete end item deliverables (hereafter known as SMBA Flight Models) that each have separate award fee amounts and associated evaluations. There are also two options, each providing an additional four SMBA Flight Models (eight total). This contract contains Section G, clause 1852.216-77 AWARD FEE FOR END ITEM CONTRACTS which states that the award fee determination each period is considered interim pending the final award fee determination at launch plus 6 months for each SMBA Flight Model. As stated in contract clause 1852.216-77, the payment and payment process associated with each final award fee determination shall be superseded by the terms in the contract, Section G, clause AWARD FEE – OPERATIONAL ON-ORBIT PERFORMANCE EVALUATION AND PAYBACK PROCESS.
- B. The period of performance of this contract is from the effective date of the contract through completion of the post-launch support of the final SMBA Flight Model as specified in the contract, Section B, clauses GSFC 52.211-90 SUPPLIES AND/OR SERVICES TO BE PROVIDED and GSFC 52.217-91 OPTION FOR INCREASED QUANTITY.
- C. The estimated cost and maximum available award fee for performing this contract is specified in the contract, Section B, clause ESTIMATED COST AND AWARD FEE. The maximum award fee percentage is TBD percent. The estimated cost and award fee are subject to equitable adjustments arising from changes or other contract modifications.
- D. Provisional award fee payments will be made under this contract pending each interim evaluation. If applicable, provisional award fee payments will be made to the contractor on a monthly basis. The amount of award fee which will be provisionally paid in each evaluation period is limited to 80 percent of the prior interim evaluation score, except for the first evaluation period which is limited to 80 percent of the available award fee for that evaluation period (see NFS 1816.405-276).
- E. The Fee Determination Official (FDO) will determine the award fee payable periodically in accordance with this plan.

- F. The Government may unilaterally change this plan, as covered in Section V and not otherwise requiring mutual agreement under the contract, provided the contractor receives notice of the changes 30-days prior to the beginning of the evaluation period to which the changes apply.
- G. The determination of the award fee earned is a unilateral decision made solely at the discretion of the Government.
- H. The unearned award fee in any given period shall not be carried forward or “rolled-over” into subsequent periods in accordance with FAR 16.401(e)(4).

II. ORGANIZATIONAL STRUCTURES FOR AWARD FEE ADMINISTRATION

The following organizational structure is established for administering the fee provisions of the contract.

A. Procurement Officer (PO)

The PO is located at the NASA Goddard Space Flight Center (GSFC), in Greenbelt, Maryland.

The primary PO responsibilities are:

1. Serve as the approval authority for any significant changes to this plan.
2. Approve the use of a substitute Performance Evaluation Board (PEB) voting member, on an individual case-by-case basis.

B. Fee Determination Official (FDO)

The FDO for this contract is the Director of Flight Programs and Projects at NASA GSFC in Greenbelt, MD. The FDO may designate an Alternate FDO when appropriate.

The primary FDO responsibilities are:

1. Establish the Performance Evaluation Board (PEB) and appoint the voting members of the PEB by memorandum.
2. Consider the PEB findings for each evaluation period and discuss it with the PEB chair and, if appropriate, with others such as the contractor.
3. Determine the interim Award Fee earned and payable for each evaluation period as addressed in Section IV and ensure that the amount and percentage of award fee earned is commensurate with and accurately reflects the contractor's performance. At launch plus 6 months of each SMBA Flight Model, the FDO will determine the final total Award Fee earned and payable under this contract based on overall performance and evaluation factors and criteria, which will supersede all previous interim provisional payments. The payment and payment process associated with each final award fee evaluation shall be subject to the contract, Section G, clause AWARD FEE – OPERATIONAL ON-ORBIT PERFORMANCE EVALUATION AND PAYBACK PROCESS. Any variance between the PEB recommendation and FDO determination must be justified and documented in the official contract file.
4. Issue and sign the award fee determination letter for the evaluation period, specifying the amount of award fee determined and the basis for that determination.

5. Concur or approve changes proposed to the PEP as addressed in Section V, as appropriate.
6. Concur in the use of a substitute PEB voting member, on an individual case-by-case basis, before forwarding the request to the PO for approval.

C. Performance Evaluation Board (PEB)

The PEB primary responsibilities of the Board are to:

1. Conduct ongoing evaluations of contractor performance based upon Performance Monitor Reports and such additional performance information as may be obtained from the contractor and other sources. The PEB will evaluate the contractor's performance according to the standards and criteria stated in this performance evaluation plan.
2. Submit an award fee letter to the FDO for signature, which addresses the PEB's findings and recommendations for each evaluation period.
3. For each final evaluation, the PEB will prepare a summary of the overall performance and evaluation results for the entire performance period of the contract.
4. Recommend for approval by the FDO for proposed changes in the performance evaluation plan and the PO for significant changes.

D. PEB Chairperson

The PEB Chairperson is **TBD** at NASA GSFC in Greenbelt, MD. The primary responsibilities of the PEB Chairperson are to:

1. Appoint non-voting members, if appropriate, to assist the PEB in performing its functions, e.g., a recording secretary.
2. Appoint performance monitors for the contract effort and assure that they are providing appropriate instructions and guidance.
3. Request and obtain performance information from other units or personnel involved in observing contractor performance, as appropriate.
4. Call on personnel from various organizational units to consult, as needed, with the PEB.
5. Assume responsibility for the actual preparation and approval of the award fee letter and other documentation such as PEB minutes.
6. Ensure the timeliness of award fee evaluations.

7. Recommend appropriate changes in this plan for consideration, as addressed in Section V.
8. If necessary, meet with the contractor during the evaluation period to provide preliminary performance feedback.
9. Request FDO concurrence and PO approval to use a substitute PEB voting member, on an individual case-by-case basis.

E. Contracting Officer's Representative (COR)

The COR will be located at NASA GSFC in Greenbelt, MD.

The primary responsibilities of the COR are to:

1. Receive and analyze the Performance Monitor Reports (PMRs) submitted by the Performance Monitors.
2. Monitor, evaluate, and assess contractor performance.
3. Ensure the contractor is provided feedback in a timely manner when Government expectations are not being met.
4. Ensure proper records are kept during each evaluation period.
5. Prepare the Contract Performance Summary Report for the Contracting Officer (CO).
6. Attend all PEB meetings, record the findings of the PEB, and prepare the award fee determination letter for the FDO's review and signature in coordination with the CO.
7. Provide technical input for the annual Contractor Performance Assessment Reporting System (CPARS) evaluation.
8. Recommend appropriate changes in this plan for consideration, as addressed in Section V.

F. Performance Monitors

Performance Monitors will be designated by the PEB Chairperson to each performance area to be evaluated.

The primary responsibilities of the Performance Monitor are to:

1. Monitor, evaluate, and assess contractor performance in assigned areas and in accordance with this award fee plan.

2. Periodically prepare a PMR for the PEB that will be submitted to the COR, as described in Section II.E., or others as appropriate.
3. Recommend appropriate changes in this plan for consideration, as addressed in Section V.

G. Contracting Officer (CO)

The CO responsible for Contract No. TBD will be located at NASA GSFC in Greenbelt, MD.

The primary responsibilities of the CO are to:

1. Advise the PEB on CPAF rating standards, policies, and procedures and ensure the consistent application of Agency policy in these matters.
2. Receive and analyze the PMRs submitted by the Performance Monitors via the assigned COR.
3. Monitor, evaluate, and assess contractor performance.
4. Ensure the contractor is provided timely feedback when Government expectations are not being met.
5. Ensure proper records are maintained during each evaluation period.
6. Consider changes to this plan and recommend those determined appropriate for presentation to the FDO and PO, if significant.
7. Attend all PEB meetings and assist the COR in preparing all PEB correspondence for the FDO.

III. EVALUATION REQUIREMENTS

The applicable evaluation requirements are included as attachments to this Performance Evaluation Plan. They are as follows:

Attachment Title	Attachment
Evaluation Periods and Maximum Available Award Fee	A
Performance Factors and Evaluation Criteria	B
Technical Performance	B.1
Business Management Performance	B.2
Cost Control	B.3
Schedule Performance	B.4
Small Business Utilization Performance	B.5
Operational On-Orbit Performance	B.6
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The percentage weights indicated in Attachment B and the grading tables in Attachment C are quantifying devices. Their sole purpose is to provide guidance in arriving at a general assessment of the amount of award fee earned. In no way do they imply an arithmetical precision to any judgmental determination of the contractor's overall performance and amount of award fee earned.

IV. METHOD FOR DETERMINING AWARD FEE

A determination of the award fee earned for each evaluation period will be made by the FDO within forty-five (45) calendar days after the end of the period. All fee determinations shall reflect the Government's assessment of the contractor's progress and ability to meet the contract objectives. The final fee determination shall reflect the Government's assessment of the contractor's performance against the terms and conditions of the contract requirements. Although award fee contracts are subjective in nature, the Government generally attempts to utilize objective and quantifiable measures to the greatest extent possible as a guide in assessing the contractor's performance.

The method to be followed in monitoring, evaluating, and assessing contractor performance during the period, as well as for determining the award fee earned or paid, is described below. Attachment D summarizes the principal actions and schedules involved.

- A. The PEB Chairperson will ensure that a monitor is assigned for each performance evaluation factor to be evaluated under the contract. Monitors will be selected on the basis of their expertise relative to prescribed performance area emphasis. The PEB Chairperson may change monitor assignments at any time without advance notice to the contractor. The PEB Chairperson will notify the contractor promptly of all monitor assignments and changes.
- B. The PEB Chairperson will ensure that each monitor receives the following:
 - 1. A copy of this plan along with any changes made in accordance with Section V.
 - 2. Appropriate orientation and guidance.
 - 3. Specific instructions applicable to the monitors' assigned performance areas.
- C. Monitors will evaluate and assess contractor performance and discuss their observations with contractor personnel as appropriate, in accordance with the General Instructions for Evaluation and Monitoring of Performance, Attachment E, and the specific instructions and guidance furnished by the PEB Chairperson.
- D. Monitors will submit PMRs to the COR within 15 days after the end of an evaluation period and, if required, make oral presentations to the PEB.
- E. The contractor may submit self-evaluation summaries to the CO. The contractor shall submit self-evaluations no later than seven (7) calendar days following the end of a performance period. Contractor self-evaluations will be forwarded through the appropriate Performance Monitors, who will reconcile differences between their reports and the contractor self-evaluations prior to the PEB meeting. Such self-evaluation summaries will be included in the PEB package.

- F. Promptly after the end of each evaluation period, the PEB will meet to consider all the performance information it has obtained. At the meeting, the PEB will summarize its preliminary findings and recommendations for inclusion in the award fee letter and other documentation such as PEB minutes.
- G. The COR, in coordination with the CO, will prepare the award fee determination letter for the period, which will be reviewed by the PEB Chairperson and then submitted to the FDO for use in determining the award fee earned. The letter will include an adjectival rating and a recommended performance score with supporting documentation.
- H. The FDO will consider the recommendations of the PEB, information provided by the contractor, if any, and any other pertinent information in determining the amount of the award fee to be paid for the period. The FDO's determination of the amount of award fee earned and the basis for this determination will be stated in the award fee determination letter.
- I. The CO shall notify the contractor in writing of the FDO's determination. The contractor may request a debriefing from the PEB Chairperson.
- J. The true quality of contractor performance cannot be measured until launch plus 6 months of each SMBA Flight Model, therefore, only the last evaluation per SMBA Flight Model is final. The total Award Fee pool available for each SMBA Flight Model is subject to the final evaluation. Prior to the final evaluation, interim evaluations will be conducted to monitor performance as a means of providing feedback to the contractor on the Government's assessment of the quality of its performance. The final evaluation will include an assessment of the contractor's overall performance against each of the evaluation factors and criteria specified in this plan for the entire performance through launch plus 6 months of each SMBA Flight Model to determine the final earned Award Fee. The interim payments are superseded by the award fee determination made in the final evaluation. The Government will then pay the contractor, or the contractor will refund to the Government, the difference between the final award fee determination and the cumulative interim fee evaluation payments. The payment associated with each "final award fee evaluation" is superseded by Section G, clause AWARD FEE – OPERATIONAL ON-ORBIT PERFORMANCE EVALUATION AND PAYBACK PROCESS.
- K. Per FAR 16.401(e)(2), no award fee will be paid to the contractor if the final evaluation is "Unsatisfactory."

V. CHANGING THE PERFORMANCE EVALUATION PLAN

A. Right to Make Unilateral Changes

The Government may unilaterally change any matters covered in this plan and not specifically identified as requiring mutual agreement under the contract, prior to the beginning of an evaluation period by providing timely notice to the contractor in writing at least 30 calendar days prior to the start of the relevant evaluation period. Significant changes to this Plan will require the approval of the Procurement Officer.

B. Steps to Change the PEP

The following is a summary of the principal actions involved in changing the PEP for an evaluation period (actions may be modified to reflect different approval or notification levels).

Action	Schedule
PEB members draft proposed revisions to PEP	Ongoing
PEP revisions submitted to CO for drafting	Ongoing
FDO reviews and concurs on all revisions to PEP except insignificant changes to the award fee tables such as reallocation or addition of dollars related to future contract changes.	45 days prior to the start of period
PO reviews and approves significant revisions to the PEP	45 days prior to the start of period
FDO/CO notifies the contractor regarding revisions to the PEP	30 days prior to the start of period

C. Method for Changing Plan Coverage

The method to be followed for changing the PEP is described below:

1. Personnel involved in the administration of the fee provisions of the contract are encouraged to recommend plan changes with a view toward changing management emphasis, motivating higher performance levels, or improving the award fee determination process. Recommended changes should be sent to the CO and COR for PEB consideration and drafting.
2. Prior to the end of each evaluation period, the PEB will submit its recommended changes, if any, applicable to the next evaluation period for approval by the FDO with appropriate comments and justification. If the changes are considered to be significant

by the CO, then the revised plan must be sent to the Procurement Officer for approval after the FDO review/concurrence.

3. No later than thirty (30) calendar days before the beginning of each evaluation period, the CO will notify the contractor in writing of any changes to be applied during the next period. If the contractor is not provided with this notification, or if the notification is not provided within the agreed number of calendar days before the beginning of the next period, then the existing plan will continue in effect for the next evaluation period unless bi-lateral agreement is obtained.

VI. ATTACHMENTS

ATTACHMENT A
SOUNDER FOR MICROWAVE-BASED APPLICATIONS
FLIGHT MODEL #1
EVALUATION PERIODS AND MAXIMUM AVAILABLE AWARD FEE

Period	Start Date	End Date	Maximum Available Award Fee*
1	TBD	TBD	\$TBD
2	TBD	TBD	\$TBD
3	TBD	TBD	\$TBD
4	TBD	TBD	\$TBD
5	TBD	TBD	\$TBD
6	TBD	TBD	\$TBD
7	TBD	TBD	\$TBD
8	TBD	TBD	\$TBD
9	TBD	TBD	\$TBD
10	TBD	TBD	\$TBD

*Maximum Available Award Fee will be allocated among the evaluation periods solely by the Contracting Officer.

ATTACHMENT A
SOUNDER FOR MICROWAVE-BASED APPLICATIONS
FLIGHT MODEL #2
EVALUATION PERIODS AND MAXIMUM AVAILABLE AWARD FEE

Period	Start Date	End Date	Maximum Available Award Fee*
1	TBD	TBD	\$TBD
2	TBD	TBD	\$TBD
3	TBD	TBD	\$TBD
4	TBD	TBD	\$TBD
5	TBD	TBD	\$TBD
6	TBD	TBD	\$TBD
7	TBD	TBD	\$TBD
8	TBD	TBD	\$TBD
9	TBD	TBD	\$TBD
10	TBD	TBD	\$TBD

ATTACHMENT A
SOUNDER FOR MICROWAVE-BASED APPLICATIONS
FLIGHT MODEL #3
EVALUATION PERIODS AND MAXIMUM AVAILABLE AWARD FEE

Period	Start Date	End Date	Maximum Available Award Fee*
1	TBD	TBD	\$TBD
2	TBD	TBD	\$TBD
3	TBD	TBD	\$TBD
4	TBD	TBD	\$TBD
5	TBD	TBD	\$TBD
6	TBD	TBD	\$TBD
7	TBD	TBD	\$TBD
8	TBD	TBD	\$TBD
9	TBD	TBD	\$TBD
10	TBD	TBD	\$TBD

ATTACHMENT A
SOUNDER FOR MICROWAVE-BASED APPLICATIONS
FLIGHT MODEL #4
EVALUATION PERIODS AND MAXIMUM AVAILABLE AWARD FEE

Period	Start Date	End Date	Maximum Available Award Fee*
1	TBD	TBD	\$TBD
2	TBD	TBD	\$TBD
3	TBD	TBD	\$TBD
4	TBD	TBD	\$TBD
5	TBD	TBD	\$TBD
6	TBD	TBD	\$TBD
7	TBD	TBD	\$TBD
8	TBD	TBD	\$TBD
9	TBD	TBD	\$TBD
10	TBD	TBD	\$TBD

ATTACHMENT B

PERFORMANCE FACTORS AND EVALUATION CRITERIA

The performance factors to be evaluated are identified below. The evaluation criteria for each factor are specified in the indicated section of this attachment.

Factor	Weight	Section
Technical Performance	25%	B.1
Business Management Performance	15%	B.2
Cost Control	25%	B.3
Schedule Performance	25%	B.4
Small Business Utilization Performance	10%	B.5
Operational On-Orbit Performance	See B.6	B.6

B.1 Technical Performance Factor

Factor Weight: 25%

Description of Factor: For each evaluation period, the contractor's technical performance will be assessed to determine if the work that has been performed meets the technical requirements of the Statement of Work (SOW) and Specifications, including a variety of subfactors related to how the work was accomplished, as indicated below:

Subfactors Considered for Evaluation:

1. Assessment of overall technical performance including ability to successfully perform all activities and manage internal work priorities across all functional areas in a manner that is consistent with the priorities and goals of the program/project. These evaluations include a subjective assessment of the quality of technical performance, i.e., quality of hardware and software end-item developments; successful completion of key milestones and tasks identified; anticipating and resolving technical problems; recovery from delays; and reaction time and appropriateness of response to changes. Also to be considered is the quality, completeness, and accuracy of the technical documentation, reports, plans, and other required deliverables as outlined in the contract. In addition, the extent to which these documents and deliverables must be returned for rework due to accuracy or completeness issues will also be considered.
2. Assessment of the ability to successfully meet the functional requirements and performance specifications of the contract.
3. Assessment of their subcontractors' technical performance. This will include the level of cooperation between all parties and the contractor's ability to meet technical milestones and ensure quality technical performance from subcontractors.

4. Assessment of performance as measured against contract specific metrics, including the metrics contained the contractor's internal plans.
5. Assessment of the overall responsiveness, performance, usability and stability of the systems throughout the contract period of performance.
6. Assessment of the contractor's ability to provide technical documentation and plans that are complete, accurate, and timely. This element includes formal Data Requirements Deliverables, major interface documents, program schedules, internal plans, and ad hoc workarounds, as needed.
7. Assessment of the contractor's ability to identify risks; analyze their impact and prioritize them; develop and carry out plans for risk mitigation, acceptance, or other action; track risks and the implementation of mitigation plans; support informed, timely, and effective decisions to control risks and mitigation plans; and assure that risk information is communicated among all levels of the program.
8. Assessment of the contractor's ability to maintain good communication within its organization and the Government and whether all problems, technical issues and changes were promptly reported to all concerned.
9. Assessment of their ability to provide staffing at appropriate skill levels to provide effective and efficient support and the extent to which the contractor has applied and retained competent and experienced personnel to assure successful and cost efficient performance. This element includes timely addition of staff to maintain the overall development schedule and the timely removal of staff to minimize program cost.
10. Assessment of the contractor's ability to provide a safe work environment, including inspections and processes for accident and incident files, mishap reporting, and training. A major breach of safety consists of an accident, incident, or exposure resulting in a fatality or mission failure; or in damage to equipment or property equal to or greater than \$1 million; or in any "willful" or "repeat" violation cited by the Occupational Health and Safety Administration (OSHA) or by a state agency operating under an OSHA approved plan. The contractor shall receive an overall adjectival rating of Unsatisfactory and not earn any Award Fee in any interim evaluation period in which there is a major breach of safety. In addition, the overall maximum available award fee pool shall be reduced by the amount of the award fee available for the evaluation period in which the major breach occurred.
11. Assessment of the contractor's ability to provide adequate security. Security is the condition of safeguarding against espionage, sabotage, crime (including computer crime), or attack. A major breach of security may occur on or off Government installations, but must be directly related to work on this contract. A major breach of security is an act or omission by the contractor that results in compromise of classified information; illegal technology transfer; workplace violence resulting in criminal conviction; sabotage; compromise or denial of information technology services; equipment or property damage from vandalism greater than \$250,000; or theft greater than \$250,000. The contractor shall receive an overall adjectival

rating of Unsatisfactory and not earn any Award Fee in any interim evaluation period in which there is a major breach of security. In addition, the overall maximum available award fee pool shall be reduced by the amount of the fee available for the evaluation period in which the major breach occurred.

Basis for Measuring Performance: Using the above subfactors and a standard of reasonable performance for them, the Performance Monitors will evaluate performance and prepare a Performance Monitor Report (PMR). On the basis of those evaluations, each PMR will be assigned a rating of "Excellent," "Very Good," "Good," "Satisfactory," or "Unsatisfactory," as specified in Attachment C, Section C.1, Award Fee Grading Table for Each Performance Factor.

If an aspect of the effort is performed with less than reasonable expected competence, the PMR will characterize it as having major or minor impacts on overall performance in related areas and will describe any extraordinary circumstances relating to the performance of the contract. These impact statements will be used by the PEB to weigh the inclusion of specific issues in the award fee letter.

B.2 Business Management Performance Factor

Factor Weight: 15%

Description of Factor: Business Management is the manner in which the contractor implements contract terms and conditions. It includes personnel, inter-organizational interfaces, work flow, property and materials controls, and contract management. For each evaluation period, business management performance is broadly assessed in meeting the business management requirements for the overall contract, as indicated below:

Subfactors Considered for Evaluation:

1. Contract Administration and Compliance – The contractor will be evaluated on the overall administration of the contract. This will include accuracy and timeliness of all reporting requirements, subcontract consent documentation, and proposal submissions; overall compliance with all terms and conditions of the contract; and responsiveness to contract issues.
2. Contract Changes – The contractor will be evaluated on responsiveness to requests for Rough Order of Magnitude (ROM) estimates, Not-To-Exceed (NTE) estimates, and change proposals. The evaluation will include the contractor's submission of timely, complete proposals and cooperation in negotiating changes.
3. Financial Reporting – The contractor will be evaluated on the extent to which NASA Form 533 Reports are accurate, timely and complete. The contractor will also be evaluated on the extent to which financial systems are responsive to special analyses or quickly adjusted as a result of contract changes or program events.

4. Subcontract Management – The contractor will be evaluated on the extent to which subcontracts are managed to ensure compliance with subcontract terms and conditions, subcontract and cost performance reporting, and overall business management. This includes the ability to monitor and forecast business trends that may ultimately impact overall contract performance as well as timely incorporation of subcontract changes. Technical performance of subcontractors will be evaluated under Technical Performance factor.
5. Responsiveness of Upper Management – The contractor will be evaluated on the extent to which corporate staffing, strategies, policies, plans, procedures, and actions provide an effective context for the successful performance of the contract and its subcontracts. This includes effective and timely management actions in relationships or interfaces with all major team organizations including international aspects such as export control.
6. General Business Management - The contractor will be evaluated on its local and corporate business management. This area will include an evaluation of the contractor's overall ability and effectiveness in responding to management issues, identifying and correcting problems, and timeliness and accuracy of data.
7. Government Property – The contractor will be evaluated on their ability to manage (control, use, preserve, protect, repair, maintain and report) all Government property in their possession (Contractor-acquired and Government-furnished) in accordance with the property clauses in the contract.

Basis for Measuring Performance: Using the above subfactors and a standard of reasonable performance for them, the Performance Monitors will evaluate performance and prepare a PMR. On the basis of those evaluations, each PMR will be assigned a rating of "Excellent," "Very Good," "Good," "Satisfactory," or "Unsatisfactory," as specified in Attachment C, Section C.1, Award Fee Grading Table for Each Performance Factor.

For each applicable subfactor, the Performance Monitor report will characterize it as having major or minor impacts on overall performance in related areas and will describe any extraordinary circumstances relating to the performance of the contract. These impact statements will be used by the PEB to weigh the inclusion of specific issues in the Award Fee Letter.

B.3 Cost Control Factor

Factor Weight: 25%

Description of Factor: Cost Control is the manner in which the contractor controls costs and manages financial resources. Cost Control includes the measure of the contractor's success in controlling actual costs against the negotiated estimated cost of the contract.

The cost control award fee shall be based on how the contractor's (and subcontractors) actual accrued cumulative costs plus the projected estimate-to-complete, contained in the monthly NASA Form 533s, compares to the negotiated estimated cost of the contract. Cost variances for

the individual period will be evaluated in combination with the overall estimated cost variance at contract completion. An assessment of actual technical work accomplished will be considered in the determination of the cost control.

The analysis of negotiated cost control will also give consideration to anticipated but unreported overruns/underruns, changed requirements, undefinitized contract actions, changed statutory requirements, and/or other changes that are within or beyond the contractor's control that impact contract costs. Each cost element will be analyzed to determine its effect on total costs.

The evaluation of cost control will utilize the following guidelines:

- Normally, the contractor should be given an Unsatisfactory rating for cost control when there is a significant cost overrun within its control. However, the contractor may receive a Satisfactory or higher rating for cost control if the overrun is insignificant. Award fee ratings should decrease sharply as the size of the overrun increases. In any evaluation of contractor overrun performance, the Government shall consider the reasons for the overrun and assess the extent and effectiveness of the contractor's efforts to control or mitigate the overrun.
- The contractor should normally be rewarded for an underrun within its control, up to the maximum award fee rating allocated for cost control, provided the adjectival rating for other award fee evaluation factors is Very Good or higher.
- The contractor should be rewarded for meeting the estimated cost of the contract, but not to the maximum rating allocated for cost control, to the degree that the contractor has prudently managed costs while meeting contract requirements. No award fee shall be given in this circumstance unless the average adjectival rating for all other award fee evaluation factors is Satisfactory or higher.

Basis for Measuring Performance: Using the above subfactors and a standard of reasonable performance for them, the Performance Monitors will evaluate performance and prepare a PMR. On the basis of those evaluations, each PMR will be assigned a rating of "Excellent," "Very Good," "Good," "Satisfactory," or "Unsatisfactory," as specified in Attachment C, Section C.1, Award Fee Grading Table for Each Performance Factor.

B.4 Schedule Performance Factor

Factor Weight: 25%

Description of Factor: For each evaluation period, the amount of award fee earned in this category will be based on evaluation of the contractor's ability to meet specific contract deliverables/milestones. Prior to the beginning of each evaluation period, the contractor will be provided with the specific major milestones and dates for each milestone. The contractor shall meet key program milestones and contractual delivery dates.

Subfactors Considered for Evaluation:

- a. Assessment of the contractor's ability to provide appropriate analysis and evaluation of alternative methods, processes, or procedures to accomplish overall requirements within schedule and budget.
- b. Assessment of the contractor's ability to meet their internal schedules.
- c. Assessment of the quality and timeliness of technical reports and other required deliverables that have been requested/ordered as specified in the contract.
- d. Assessment of the timely notification of schedule problems and recommended re-planning of work.

Basis for Measuring Performance: The Performance Monitors will prepare a PMR that addresses the associated schedule metric for which they were the performance monitor and assess compliance with each milestone and the established schedule. On the basis of those evaluations, each PMR will be assigned a rating of "Excellent," "Very Good," "Good," "Satisfactory," or "Unsatisfactory," as specified in Attachment C, Section C.1, Award Fee Grading Table for Each Performance Factor. The PEB will give consideration to changed support requirements and/or other changes beyond the contractor's control that impact schedule.

B.5 Small Business Utilization Performance Factor

Factor Weight: 10%

Description of Factor: Small Business Utilization is the manner in which the contractor focuses management attention to subcontracting with Small, Women-Owned, Historically Black Colleges and Universities, HUBZone, Veteran-Owned, Service-Disabled Veteran-Owned, and Small Disadvantaged business concerns to the maximum extent practicable, consistent with efficient contract performance.

The contractor will be evaluated on their performance against the Small Business Subcontracting Plan goals and their achievements in subcontracting high technology efforts. The evaluation should consider both goals as a percentage of subcontracting dollars as well as a percentage of the total contract value.

The contractor's Mentor Protégé program will be assessed. The areas to be evaluated during each evaluation period include the following:

- (a) Specific actions taken by the contractor to increase the participation of protégés as subcontractors and/or suppliers;
 - (b) Specific actions taken by the contractor to develop the technical and corporate administrative expertise of a protégé as defined in the agreement;
 - (c) To what extent the protégé has met the developmental objectives in the agreement;
- and

- (d) To what extent the firm's participation in the Mentor Protégé Program resulted in the protégé receiving competitive contract(s) and/or subcontract(s) from private firms and agencies other than the mentor.

Basis for Measuring Performance: Using the above subfactors and a standard of reasonable performance for them, the Performance Monitors will evaluate performance and prepare a PMR. On the basis of those evaluations, each PMR will be assigned a rating of "Excellent," "Very Good," "Good," "Satisfactory," or "Unsatisfactory," as specified in Attachment C, Section C.1, Award Fee Grading Table for Each Performance Factor.

For each applicable subfactor, the Performance Monitor report will characterize it as having major or minor impacts on overall performance in related areas and will describe any extraordinary circumstances relating to the Core/task performance. These impact statements will be used by the PEB to weigh the inclusion of specific issues in the Award Fee Letter.

B.6 Operational On-Orbit Performance

Operational On-Orbit Performance Evaluations are made based on on-orbit performance which begins after launch plus 6 months of each SMBA instrument. The establishment of the on-orbit payback pool, evaluation of on-orbit performance, and criteria for finalizing or refunding fee within the on-orbit payback pool shall comply with contract, Section G, clause AWARD FEE – OPERATIONAL ON-ORBIT PERFORMANCE EVALUATION AND PAYBACK PROCESS.

ATTACHMENT C

AWARD FEE GRADING TABLES

C.1 Award Fee Grading Table for Each Performance Factor

Adjectival Rating	Range of Performance	Description
Excellent	100-91	Contractor has exceeded almost all of the significant award-fee criteria as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Very Good	90-76	Contractor has exceeded many of the significant award-fee criteria as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Good	75-51	Contractor has exceeded some of the significant award-fee criteria as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Satisfactory	50	Contractor has met the significant award-fee criteria as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Unsatisfactory	Less than 50	Contractor has failed to meet requirements of the contract in aggregate as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.

Any Performance Factor receiving a grade of “Unsatisfactory” (less than 50 points) will be assigned zero performance points for purposes of calculating the award fee amount for that Performance Factor (includes cost control).

C.2 Overall Total Award Fee Grading Table

Adjectival Rating	Range of Performance	Description
Excellent	100-91	Contractor has exceeded almost all of the significant award-fee criteria and has met overall cost, schedule, business and technical performance requirements of the contract in the aggregate as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Very Good	90-76	Contractor has exceeded many of the significant award-fee criteria and has met overall cost, schedule, business and technical performance requirements of the contract in the aggregate as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Good	75-51	Contractor has exceeded some of the significant award-fee criteria and has met overall cost, schedule, business and technical performance requirements of the contract in the aggregate as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Satisfactory	50	Contractor has met overall cost, schedule, and business technical performance requirements of the contract in the aggregate as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.
Unsatisfactory	Less than 50	Contractor has failed to meet overall cost, schedule, business and technical performance requirements of the contract in the aggregate as defined and measured against the criteria in the award-fee plan for the award-fee evaluation period.

Any factor receiving a adjectival rating of “Unsatisfactory” (less than 50) will be assigned a numerical score of Zero (0) for purposes of calculating the award fee amount to be earned (includes cost control). Per FAR 16.401(e)(2), the contractor shall not be paid any award fee when the total award fee rating in the aggregate is "Unsatisfactory" (less than 50).

An overall adjectival rating of “Unsatisfactory” shall be assigned for any interim evaluation period in which there is a major breach of safety or security, and the contractor shall not earn any Award Fee in an interim evaluation period in which the major breach of safety or security occurred. In addition, the overall award fee pool shall be reduced by the amount of the award fee available for the period in which the major breach of safety or security occurred.

As a benchmark for evaluation, in order to be rated "Excellent" overall, the contractor would typically be under cost, on or ahead of schedule, and providing outstanding technical performance. If all of these criteria are not met, the PEB or FDO must include justification for an overall "Excellent" rating.

ATTACHMENT D

ACTIONS AND SCHEDULES FOR AWARD FEE DETERMINATIONS

The following is a summary of the principal actions involved in determining the award fee for the evaluation periods. The PEB will establish lists of subsidiary actions and schedules as necessary to meet the schedule for principal actions.

Action	Schedule
PEB Chairperson and members appointed	Prior to first period and ongoing
PEB Chairperson appoints Performance Monitors and informs the contractor	Prior to first period and ongoing
Monitors receive orientation and guidance	Prior to first period
Performance Monitors assess performance and discuss results with the contractor	Ongoing
Performance Monitors submit performance reports to PEB	Not later than (NLT) 15 days after end of period
PEB meets to discuss performance reports and prepare preliminary findings and recommendations	NLT 30 days after end of period
PEB forwards findings and summary recommendations to FDO in the award fee letter	NLT 40 days after end of period
The FDO reviews and signs the award fee letter. CO forwards the award fee letter and executed contract modification to the contractor	NLT 45 days after end of period
Award fee payment made to the contractor	NLT 60 days after end of period

ATTACHMENT E
GENERAL INSTRUCTIONS
FOR EVALUATION AND MONITORING OF PERFORMANCE

1. Performance Monitors will prepare outlines of their assessment plans and coordinate them with the PEB Chairperson. Upon agreement with the PEB Chairperson, the Performance Monitor will discuss the plans with appropriate contractor personnel to assure complete understanding of the evaluation and assessment process.
2. Performance Monitors will conduct all assessments in an open, objective, and cooperative manner so that a fair and accurate evaluation is obtained. This will ensure that both the Performance Monitor and the contractor receive accurate and complete information from which to prepare assessments and to plan improvements in performance. Positive performance accomplishments will be emphasized just as readily as negative ones and extraordinary circumstances will be noted in reports.
3. Performance Monitors will discuss their assessments with the appropriate contractor personnel, noting observed accomplishments, deficiencies, or unusual circumstances. This affords the contractor an opportunity to clarify possible misunderstandings regarding areas of unsatisfactory performance and to correct or resolve deficiencies in a timely manner.
4. Performance Monitors will conduct their contacts and visits with contractor personnel within the context of official contractual relationships. They will avoid activities or associations that might cause, or give the appearance of, a conflict of interest on either part.
5. Performance Monitor contacts with contractor personnel will not be used to instruct, direct, or supervise or control these personnel in the performance of the contract. The role of the monitor is to monitor, assess, and evaluate, not to manage the contractor's effort.
6. Performance Monitors will document their assessments of contractor performance in their reports that they will submit to the PEB at the end of each evaluation period. Performance Monitors will be prepared to make verbal reports of their evaluations and assessments as required by the PEB Chairperson.